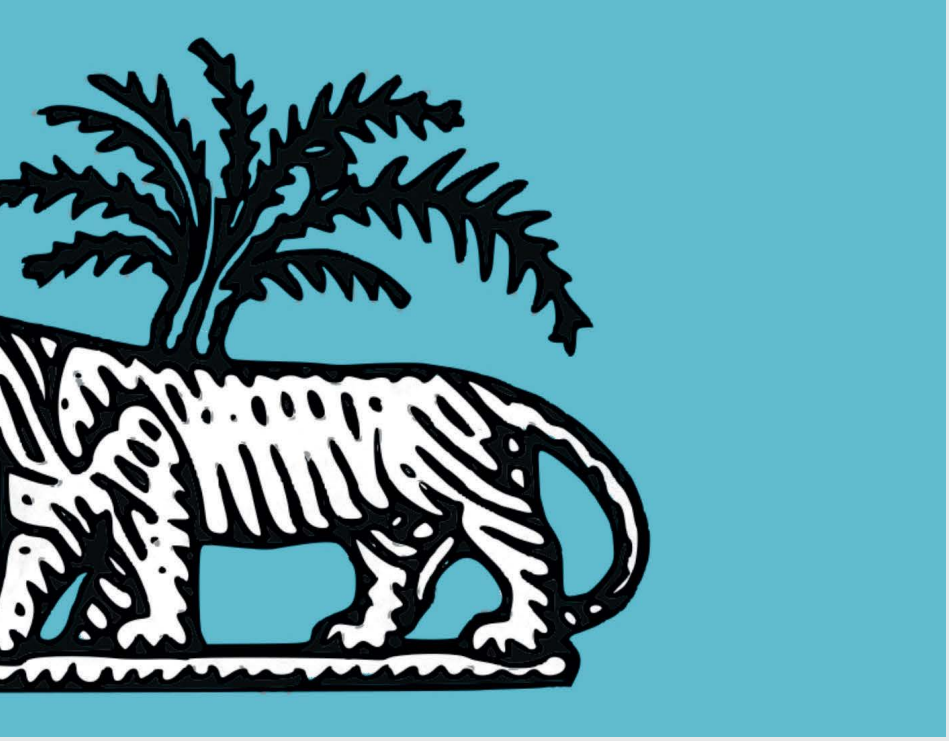


Illustration by SIDDHANT JUMDE

RBI

GOVERNMENT GETS A GOOD BONUS

adopted by the central bank on August 26, 2019, based on the Bimal Jalan committee's recommendations. The committee stipulated that, while transferring its surplus to the government, the RBI has to maintain a contingent risk buffer (CRB) in the range of 5.5-6.5 per cent of its balance sheet. For FY24, it has maintained a CRB of 6.5 per cent.

According to Madan Sabnavis, chief economist with Bank of Baroda, three sources of income would have led to the largesse from the RBI. One is the variable repo rate auctions to inject more money into banks. Banks participate in the auctions by bidding for the notified amount offered by the RBI. This would have yielded the central bank upwards of 6.5 per cent on the amount borrowed by banks. "The second would be the RBI's forex operations, where the central bank was regularly in the market, buying and selling dollars to stabilise the currency," he says. Both legs of the transaction would have yielded revenues for the RBI depending on the price at which the dollars were bought and sold. "This, too, was a large component in FY23, and overall operations in FY24 were of the order of $338 billion (Rs 28 lakh crore) as against $399 billion (Rs 33.2 lakh crore) in the previous year," says Sabnavis.

The third source of income would have been the returns on forex reserves, which increased by around $60 billion (around Rs 5 lakh crore) last year. "A sum of $570 billion (Rs 47.3 lakh crore) as forex reserves would have delivered a return of close to 4 per cent," says Sabnavis. "In FY23, the yield had gone up to 3.73 per cent from 2.11 per cent in FY22 as the Fed had raised interest rates sharply."

Experts say that the higher-than-budgeted dividend transfer by the RBI will boost the government's effort towards fiscal consolidation. In the interim budget tabled on February 1, the government had set a target of bringing down the fiscal deficit (the difference between its income and expenditure) target to 5.1 per cent of the GDP in FY25, from 5.8 per cent in FY24. Moreover, the government can reduce its dependence on market borrowings, which are currently budgeted at Rs 14.13 lakh crore (gross) and lower its borrowing costs.

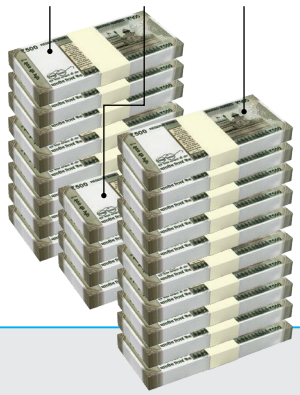
The government can also choose to deploy the additional resources for higher spending, preferably for capital expenditure, says a note from the BoB research team. Incidentally, the government had already increased its capex to Rs 11.1 lakh crore or 3.4 per cent of the GDP in FY25. Apart from this, the bumper dividend payout is also likely to ease the government's reliance on its disinvestment programme, on which progress has been slow in the past few years. ■

WINDFALL GAINS

RBI's surplus transfer to the Centre

(in lakh crore)

₹1.76 FY19 ₹0.87 FY23 ₹2.11 FY24



WHERE IT CAME FROM

- Gains from variable repo rate auctions by the central bank
- Forex operations of the RBI
- Income from forex reserves

HOW IT WILL HELP

- Ease the financial burden on the next govt
- Help the Centre to spend more on capex
- Help lower fiscal deficit
- Reduce the government's dependency on market borrowings
- Ease the pressure on slow-moving divestment programme